8
Introduction to bailments

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ understand the parties to bailments
- ✓ use the correct terminology in discussing bailments
- ✓ understand the nature and significance of bailments
- ✓ identify what can and cannot be the subject of a bailment
- ✓ identify the different types of bailment
- ✓ explain how bailments are created
- ✓ state the special rules relating to a bailee's liability in negligence

1. INTRODUCTION

Bailments arise all the time. When you lend a pen to the student next to you, whose own has run out of ink, you create a bailment. When someone goes into a shop and buys, say, an antique table, and asks the shopkeeper to store it for a few days until they can obtain suitable transport, a bailment is created. Pick up a bit of lost property and a bailment is created. Leave your computer at a shop for repairs, and a bailment is created. However, lend someone a house and there is no bailment: bailment applies only to personal property (or 'chattels').

More importantly, bailments have a major role to play in the conduct of business. Carriers by land, sea and air are bailees of the goods they are transporting. Pawnbrokers are bailees of the goods pledged as security for loans (an important source of credit in economically deprived communities). When cars are sold on hire purchase, the buyer holds as bailee. Warehouse providers (called 'warehousemen') are actually in the business of being bailees – and warehousing is a major industry in its own right. It will be obvious to you that in Britain alone, at any one time there are billions of pounds of goods currently subject to bailment, and thousands of businesses, with hundreds of thousands of employees, are routinely bailees as part of their everyday business.

When we speak of 'the Law of Obligations' we tend to think of contracts and torts and restitutionary actions. Bailments might well be described as 'the forgotten obligation'. A bailment is really neither fish, nor flesh, nor fowl. Bailments deliberately created tend to be created by contract (though a thief is also a sort of bailee, but that is a bailment of sorts created deliberately by the bailee, rather than by the bailor). The bailor's interest

is a property right, and his remedies sound in tort and/or breach of contract. The word 'bailment', by the way, derives from the French word 'bailler', which means 'to deliver', and the Australian bushwhacker's equivalent to the English highwayman's 'stand and deliver' was 'bail up'. It used to be thought that an actual physical delivery was necessary to create a bailment (see *Coggs v. Bernard* (1703) 2 Ld Raym 909). This is certainly not so today, if it was ever right.

2. THE WHO'S WHO OF BAILMENT

Let's have the terminology clear. A **bailor** is the owner of goods which are subject to a bailment. A **bailee** is anyone who is holding goods the legal ownership of which belongs wholly or in part to another (the **bailor**). A **sub-bailee** is one to whom the goods have been bailed by someone who is themselves a bailee of those goods. Goods made subject to a bailment are said to be **bailed**.

✓ **You now know who the parties are to a bailment and can use the correct terminology**

3. THE NATURE AND SUBJECT MATTER OF BAILMENTS

3.1 The Nature of Bailments

This is quite a knotty question. It may seem theoretical, and there is a great time to be had theorizing about it, but like quite a bit of theory, a grasp of it will help us to understand how the law actually works in practice. (Indeed, what you have been taught as 'the law of contract' is also known as 'the classical general *theory* of contracts' – a way of explaining in general terms the myriad instances of different decisions regarding quite different sorts of contracts).

We have already said that bailment is really an obligation in its own right. The act of bailing goods creates rights and responsibilities that are not necessarily contractual – bailments can arise involuntarily and, even when they are the result of agreement, that agreement need not necessarily be supported by consideration. The remedies in the event of a breach of the obligations under a bailment are, however, founded partly in contract (where there is a contract) and partly in a variety of torts. In any individual case, it is possible that the aggrieved party could have an action either in breach of contract or in tort and can elect which one to go for (or plead them 'in the alternative' – where the party states that, for instance, there is a breach of contract, or failing that a liability in tort). But there is no such thing as an action for 'breach of bailment', with its own rules and remedies. Rather, the action is for breach of contract, or negligence, or trover or statutory conversion. The bailment is the context of the action; it is the act which caused obligations to arise which a claimant now says have been breached.

The very old case of *Coggs v. Bernard* (also called *Coggs v. Barnard*) is the *locus classicus* for a description of bailments, though it was by no means the first case to recognize them as giving rise to actions. Unlike a lot of old cases, the judgments are quite detailed and reference the law as it had already been stated up to that time. It is still our source for the way we structure our understanding of bailments today, and we will shortly look at it in some detail. Before we do that, however, it is important to note that there are various reports of the case. Some of them are more detailed than others. Some of them differ as to the facts of the case, as well. For instance, Comyn's report states that the subject matter was 'a hogshead of wine', while other reports, including Lord Raymond's report, state that the subject matter was 'several hogsheads of brandy'. It does not really seem to matter which it was (and, indeed, brandy was often referred to back then as 'spirits of wine', as it is the result of distilling wine and then maturing the distillate in wooden casks). To save dodging around between the reports, we have used the report given in the All England Reprint (All ER Rep). This is a set of reports published by the All England Law Reports of selected important cases from 1558 until 1935 (the All England Reports started in 1936). The reports are in modern format, making them easier to use than the originals. The All ER Rep version of *Coggs v. Bernard* is available on Lexis and most likely also in hard copy in your university library.

KEY CASE
***COGGS V. BERNARD* (1703) 2 LD RAYM 909; [1558–1774] ALL ER REP 1**

The plaintiff, Coggs, claimed that Bernard agreed on 10 November 1701 to collect several hogsheads of brandy from a cellar (location described only as 'D') and transfer them to a cellar in Water Lane in the City of London. Bernard carried out this task but he or his servants or agents were negligent and staved-in one of the casks at the delivery address, causing a large quantity of brandy to be lost. (A hogshead is a standard size of barrel, though the size has differed over the centuries and differs for wine and beer. These would have been roughly 52 gallons or about 236 litres.) At trial the Court of Queen's Bench held for the plaintiff, but the defendant put in a motion in arrest of judgment (effectively an appeal) on the grounds that the plaintiff had never claimed that the defendant was a common carrier (which would have imposed specific liabilities) or that the defendant was to receive any reward (which would have made him liable in contract). The motion came before the full Court of Queen's Bench (Sir John Holt CJ, Gould, Powys and Powell JJ).

Now, we cannot be sure that there was no consideration in this case. The plaintiff had not pleaded one and this was a deficiency that could not be rectified in the procedure of the courts of the time. But it may well be that there was no consideration, hence it not being pleaded, and anyway, that is the basis upon which the Court of Queen's Bench decided the case.

✓ **You can now understand at a general level the nature of bailments, as a sort of additional form of obligation, and how significant bailments are as part of commercial and personal life**

3.2 Subject Matter of Bailments

What kinds of things can be bailed? First of all, only personal property can be bailed. This means there can be no bailment of a house or shop or office building, say. Second, only tangible property can be bailed: one cannot bail a chose in action, for instance (property which you have the right to recover if withheld but don't currently possess, such as money in a bank account). However, what is called 'valuable paper' can be bailed, and such paper (for example, bearer bonds) can be bailed even though in itself it only conveys a chose in action: it is the document itself, not the rights it conveys, which is bailed. If all this sounds rather familiar, then you might like to compare what can be bailed with the definition of 'goods' under the Sale of Goods Act 1979, which we considered earlier in the book.

✓ **You can now identify what can and cannot be the subject matter of a bailment**

4. TYPES OF BAILMENT

Traditionally there were six categories of bailment (described by Holt CJ in *Coggs v. Bernard* (1703) 2 Ld Raym 909), and these, with a little addition and tweaking, will do us quite well, though it should be understood that in their traditional formulation they do not cover every kind of bailment. (Trigger warning: the following content may bring back distressing memories of Latin lessons at school.) They are:

- Depositum.
- Locatio custodiae (or 'hire of custody').
- Commodatum.
- Locatio et conductio.
- Vadium.
- Locatio operis faciendi.
- Mandatum.

Of these, locatio custodiae was not mentioned in Holt CJ's list. There are also what are known as 'constructive bailments' – the toe-rag who stole your car is a constructive bailee, for example. And there are odd cases of bailments which arise in other ways, for instance, a conditional sale.

We will now look at each of these types of bailment in turn.

4.1 Depositum

Depositum is the 'bare deposit' of goods with someone for the owner's exclusive use. Traditionally, this was only in cases where the bailee receives no reward, distinguishing

it from *locatio custodiae*, but this can probably be regarded as pretty much a distinction without a difference. A good example of depositum is *Khan v. Grocutt*.

KEY CASE
***KHAN V. GROCUTT (KHAN PART 20 DEFENDANT)* [2002] EWCA CIV 1945**

This case concerned two doctors enjoying a foreign junket (sorry, 'attending an important medical conference') in Turkey. Following the hard work of the conference itself, the two doctors, Khan and Grocutt, decided to hire a car to go on an excursion. They would be accompanied by Dr Khan's mother, who became the claimant in this case, after she was injured when the car was involved in a collision with a lorry on the way back, when Dr Grocutt was driving. Mrs Khan failed to take action against the Turkish lorry driver, but got Legal Aid (and this is important) to sue Dr Grocutt, whom the trial court absolved of all blame. Because she was on Legal Aid, Dr Grocutt did not get all his costs paid. Usually, the insurance company takes over the conduct of proceedings by or against the insured (known as the insurer's 'right of subrogation'), and takes care of the costs. But where were the insurance documents?

Now, Dr Khan had made the arrangements for the hire-car and paid for it with his credit card. But Dr Grocutt was to pay his share to Dr Khan and both doctors signed the necessary paperwork, as they were to be co-drivers. Dr Grocutt was concerned that they must have fully comprehensive insurance cover. Dr Khan reassured him on that point, and also retained the insurance documents in his custody. When Mrs Khan sued Dr Grocutt, Dr Khan was unable to produce the insurance documents. He said, eventually, that he had given them to the Turkish police, who had retained them, and that the Turkish police destroy all such documents after five years, so they were now lost forever, and with them Dr Grocutt's chances of recovering his legal costs from the insurer. So, Dr Grocutt joined Dr Khan as what is known nowadays as a 'Part 20 Defendant' (in the olden days, 'Third Party'), to recover the costs from him.

The judge held that after Dr Khan had paid there was a legally binding agreement between the two doctors, arising from the fact that Dr Grocutt was to pay his share. Both doctors had a legal interest in the insurance documents. By keeping custody of the documents, Dr Khan had become (at least) a gratuitous bailee of the documents on behalf of Dr Grocutt. He should have taken reasonable steps to get the documents back from the Turkish police, and at the very least should have informed Dr Grocutt what had happened to the documents when he first asked about them. Therefore, unless he could show that the normal legal consequences should not flow from his failure to produce the documents, Dr Khan was responsible for the consequent loss to Dr Grocutt. Dr Khan appealed, but the Court of Appeal (Lord Phillips MR and Sedley LJ) agreed with the trial judge.

Assuming Dr Khan to have been a *gratuitous* bailee of the insurance documents (which he was as a minimum), this is an example of **depositum**.

A bailment must be of some physical chattel, but unlike with a sale of valuable paper, where only the value of the paper as an artefact can be recovered in the event of breach (for example, a share certificate of historical interest), a bailee is liable for any loss caused to the bailor by his failure to look after and return the bailed goods, as with *Khan v. Grocutt* (above).

4.2 *Locatio Custodiae* (or 'Hire of Custody')

This is just the same as depositum, but for reward: so, for example, leaving valuables in safe-keeping with your bank, or storing furniture at a warehouse for a fee. A good example of this is the case of *Chapman v. GWR* (1880) 5 QBD 278, in which goods were sent to a railway station warehouse to be kept until called for by the plaintiff, who was a travelling salesman. When he called for them three days after they had been delivered, he found there had been a fire and the goods were destroyed. The railway company when transporting the goods were what is known as 'common carriers' with specific liabilities. Chapman sued them as common carriers but failed on that point because the court held he had left it too long to collect the goods. On that basis, they had become 'mere warehousemen' (making it a *locatio custodiae*) and were not liable unless he could prove negligence.

4.3 *Commodatum*

Commodatum arises where the bailor lends goods to the bailee for the bailee's benefit. So, if you lend your pen to a fellow student in a lecture, that is an example of *commodatum*. An example in the case law is *Coughlin v. Gillison* [1899] 1 QB 145, which we will look at in more detail in Chapter 9.

4.4 *Locatio et conductio*

This is where the goods are let to the bailee on hire. You will be familiar with one particular case of *locatio et conductio*, from your study of contract law: *Chapelton v. Barry UDC* [1940] 1 KB 532. In this case, as you will no doubt remember, Mr Chapelton hired a deckchair from Barry Urban District Council. When he sat on it, the canvas gave way and he fell through the chair, injuring himself. In your contracts module you will have studied this in relation to the incorporation of terms on tickets and notices, but you may not have noticed that the action was not actually for breach of contract at all, but was brought on the basis of the bailment, with the defendant council seeking, unsuccessfully, to allege contractual terms as a defence. Rather like *Coughlin v. Gillison* above, this was all about the responsibilities of the bailor to the bailee, which is worth bearing in mind since it is easy to think about bailments in terms of the bailee's duty to the bailor.

4.5 *Vadium*

Vadium is the type of bailment created when goods are pawned or pledged to someone. You will be familiar with the idea of a mortgage as a way of providing security for a loan. The chances are that you or someone close to you has bought a house and funded the purchase by 'getting a mortgage'. This is actually misleading language, because the bank or building society does not grant a mortgage to the borrower; it's the other way round – the borrower grants a mortgage to the lender to secure repayment of the money. A 'gage' is an old word meaning 'pledge'. 'Mort' means 'dead'. A mortgage, then, is a 'dead pledge', meaning that the property pledged actually remains in the hands of the pledgor (the mortgagor or borrower) instead of passing into the

hands of the pledgee (the mortgagee or lender). Goods, too, can be mortgaged (also called 'charged'), which is quite often done by businesses, using a mortgage of, say, machinery and equipment to secure borrowing. At the level of the ordinary individual, though, it is more likely that if goods are pledged as security for borrowing, this will be not a mortgage but a 'vifgage', or 'live pledge' – that is to say, putting your goods into pawn: you might leave a ring or a watch with a pawnbroker in order to get a small short-term loan. You might also pawn a Ferrari or yacht, to get a larger loan! This pledging or pawning or granting of a vifgage creates a *vadium*. It can apply to anything which can be the subject matter of a bailment (see section 3.2 of this chapter), including, for instance, valuable paper: *Donald v. Suckling* (1866) LR 1 QB 585.

4.6 *Locatio operis faciendi*

There are two categories of *locatio operis faciendi*. The first is where the goods are handed over in order to have something done to them; for example, where wheat is handed over to a milling company, say, to have it ground into flour, or where you leave your car with a garage to service or repair it. If you looked at implied terms as part of your contract studies, you may well have come across the case of *Hollier v. Rambler Motors (AMC) Ltd* [1972] 2 QB 71 (CA) in which Mr Hollier left his car with Rambler Motors for repair and while in their keeping it was destroyed as a result of a fire. Mr Hollier sued Rambler Motors as bailees of his car and it would be an obvious example of *locatio operis faciendi*. (Following the conclusions of the court in *Chapman v. GWR*, it could be argued that because there was a delay in starting the repairs it had become a case of *locatio custodiae*, but that would be splitting hairs too finely, perhaps.)

The second category is exactly that in *Chapman v. GWR*, namely handing goods over to a carrier (say, a haulage company, a courier, a shipping line) so that they can be transported. The bailment in *Chapman* starts as a *locatio operis faciendi* but ends as a *locatio custodiae*, in a great piece of luck for the Great Western Railway (see section 4.2 of this chapter).

4.7 *Mandatum*

Mandatum is much the same as *locatio operis faciendi*, but the carriage or other acts are not done for reward. Because no consideration was pleaded in *Coggs v. Bernard*, that was treated as a case of *mandatum*. A more modern example can be seen in *Copland v. Brogan* [1915] SC 277.

✓ **You can now identify the different types of bailment**

5. CREATION OF BAILMENTS

We have, in a sense, covered this already, but it does not hurt to summarize what we know. We have already seen that a bailment can be created by a contract. It can also be created by an

agreement between the parties that does not actually amount to a valid contract: for instance, part of the essence of a *mandatum* is that it is not for reward, so there would generally be no valid contract owing to the lack of consideration.

A bailment may come about merely through circumstances, or where an agreement is no more than tacit. For example, suppose you have seen an antique vase advertised on the website of a local antique shop. You telephone to ask if it is still available and are told that it is. You then agree to buy it, pay for it by card, and say you will collect it tomorrow. In the absence of any contrary agreement, the vase is now yours, since it is specific goods and property passes at the time the contract is made. From that moment until you collect it, the antique shop proprietor is bailee of the vase.

Then there are also those instances where a bailment arises quite involuntarily, as with someone who finds goods, or steals them.

✓ **You now know that bailments can be created in a variety of ways, and can explain how they can be created by agreement, contractual and non-contractual; by operation of law; by accident of circumstances; or involuntarily**

6. NEGLIGENCE AND THE BAILEE'S DUTY OF CARE

Most cases concerning bailments – at least, most *reported* cases – are brought by a bailor against a bailee on the grounds that the bailee has failed to take care of the goods. The bailee's duty is in many respects much like the ordinary duty of care in the general run of negligence cases, which you (we hope) know all about from your study of torts. There are some special features of the bailee's duty of care, though.

6.1 Duty of Care

At a general, theoretical, level we notice two important differences. First, duties imposed by the law of torts are generally owed to anyone and everyone, but the bailee's duty is only owed to the bailor. Second, tortious liability is generally imposed irrespective of the will of the party it is imposed upon, but, of course, the bailee acquires his duties by becoming a bailee in the first place, which may not involve any express agreement but is essentially consensual, on his part at least (one can easily become a non-consenting bailor, in spite of a belief once held that the bailor's consent is necessary, but it seems to us impossible in practical terms to be made an unwilling bailee – enthusiasts may, if they wish, like to look at Laidlaw's article on the subject: (1930–31) 16 *Cornell LQ* 286).

At a more practical level, there are four principal differences between ordinary liability in negligence and that of bailees:

- Liability for theft.
- Liability for servants and independent contractors.

- Rules on estoppel.
- Burden of proof.

We will now look at these differences from ordinary negligence liability in turn. We are assuming that you already know the ordinary negligence rules, but if not, any torts textbook will give you what you need to know.

6.1.1 Liability for Theft

Ordinarily, we do not have a duty to protect another person's goods from being stolen, unless by contractual agreement. However, neither a contract nor even an agreement is necessary to make someone a bailee – but the bailee then becomes responsible for safeguarding the goods against, among other things, theft by some other person. A bailee is generally only liable for theft if he was negligent, but the burden of proving he was not negligent lies on the bailee: see *Hunt and Winterbotham (West of England) Ltd v. BRS (Parcels) Ltd* [1962] 1 QB 617, in which Lord Donovan said at 635: '… it is for the depositee to show that he has not been negligent'.

6.1.2 Liability for Servants and Independent Contractors

As you will know, again from torts, there is no general vicarious liability for the acts of others. One can acquire vicarious liability, but only in certain circumstances. Not so for the bailee.

A bailee is liable for the negligence of his **servants**: *Port Swettenham Authority v. TW Wu & Co* [1979] AC 580. In that case, see especially the dictum of Lord Salmon at 591:

> When a bailee puts goods which have been bailed to him in the care of his servants for safe custody, there can be no doubt that the bailee is responsible if the goods are lost through any failure of those servants to take proper care of the goods.

If a sub-bailment is made to an **independent contractor**, who is then liable (or not, if the sub-bailment is made by a contract which includes a term excluding his liability) for safeguarding the goods, the bailee is liable to the bailor for the actions or omissions of the sub-bailee: *British Road Services v. Arthur V Crutchley Ltd* [1968] 1 All ER 811. (The ordinary position in torts can be seen in *Jolliffe v. Willmett & Co.* [1971] 1 All ER 478, in which it was held that a firm of solicitors would not be liable for trespass by an enquiry agent (private detective) they had engaged, unless it could be shown that they either were negligent in selecting the agent or else authorized the trespass.)

A sub-bailee, although contractually in a relationship with the principal bailee rather than the bailor, can be sued directly by the bailor: *'The Pioneer Container'* [1994] 2 AC 324 (PC). In this circumstance, if the sub-bailee is protected from liability by terms in the sub-bailment, then he has the benefit of those terms if sued directly by the bailor, provided the bailor can be shown or presumed to have assented to the sub-bailment and to it being on terms, which might include the relevant terms. Otherwise the sub-bailee would be liable to the bailor in the same general way as a bailee.

KEY CASE
***KH ENTERPRISE V. PIONEER CONTAINER, 'THE PIONEER CONTAINER'* [1994] 2 AC 324 (PC)**

This was an appeal to the Judicial Committee of the Privy Council from the Court of Appeal of Hong Kong. The case involved a large number of cargo owners, all of whom had goods on board the defendant's container ship, the *K H Enterprise*, which sank after a colliding with a bigger ship, the *Oriental Faith*, in heavy fog off the coast of Taiwan, when bound for Hong Kong. Some plaintiffs had contracted directly with the owners of the *K H Enterprise* but others had contracted with other freight companies, who had ultimately sub-contracted the Taiwan–Hong Kong part of their journeys to the defendants.

The plaintiffs had signed agreements with the freight companies which amounted to a contractual bailment. The contracts contained agreements that the freight company could sub-bail the plaintiffs' goods 'on any terms'. The freight companies then sub-bailed the goods to the owners of the *K H Enterprise* on terms that any disputes were under the exclusive jurisdiction of the courts of Taiwan.

When the ship sank, the cargo was lost, so the defendant sub-bailees were unable to deliver them up to the bailors, which meant the latter had an action against them. However, instead of starting proceedings in the courts of Taiwan (as required by the terms of the sub-bailment), they allowed themselves to run out of time to bring proceedings under Taiwan's laws, and brought the case in Hong Kong instead. This had the advantage for them that they would not have to put money up in advance as security for the defendant's costs (in case the plaintiffs lost) – they would have to do this in Taiwan but not in Hong Kong.

To make sure that there would be money to pay their damages and costs if they won, the plaintiffs issued a writ against another ship owned by the defendant (known as a 'sister ship'), and had that ship, the *Pioneer Container*, arrested in Hong Kong. A guarantee of $1.6m was put up by a P & I club, allowing the ship to be released. The defendants then applied to have proceedings in Hong Kong stayed, because the case should have been brought in Taiwan. The Hong Kong judge agreed that the case should have been brought in Taiwan but allowed proceedings to continue because it was now too late to bring them in Taiwan. The Court of Appeal of Hong Kong reversed this decision, holding that the plaintiffs had been unreasonable in letting time expire for bringing an action in Taiwan. The plaintiffs appealed to the Privy Council, arguing that the doctrine of a sub-bailment on terms was based on an *obiter dictum* of Lord Denning MR in *Morris v. C W Martin & Sons Ltd* [1966] 1 QB 716 at 729, and had not been applied in any appellate court or in any court at all in Hong Kong. Unless they had expressly or impliedly agreed the particular terms of the sub-bailment, they could not be bound by those terms, because they were not privy to the contract between the bailee and the sub-bailee.

Lord Goff of Chieveley gave the judgment of the Privy Council, rejecting the plaintiffs' arguments. The court held that there was such a thing as a sub-bailment, and the bailor could sue the sub-bailee directly. However, while it was true that the bailors had not been privy to the contract between the bailees and the sub-bailees, they had authorized the bailee to sub-bail 'on any terms', so, vis-à-vis the sub-bailee, the bailors were bound by the terms made with the sub-bailee by the bailee. They would be bound whether they had expressly authorized the terms of the sub-bailment or the bailee had apparent authority (see the chapters on Agency above).

The case of *BRS Ltd v. Arthur V Crutchley Ltd* illustrates a number of points relating to the bailee's liability in negligence, and this seems as good a place as any to go into it in more detail. Not only is it a very useful case, but we think it would also make a brilliant basis for a crime-caper comedy film of the sort that Ealing Studios used to do so well in the 1950s. This makes it Very Memorable.

KEY CASE
***BRITISH ROAD SERVICES LTD V. ARTHUR V CRUTCHLEY & CO LTD (FACTORY GUARDS LTD, THIRD PARTY)* [1968] 1 ALL ER 811**

British Road Services ('BRS') was Britain's nationalized road-freight company. In this case, it was carrying a lorry-load of Scotch whisky, with a duty to deliver it onboard a ship at Liverpool. It would have to be kept safe overnight in a warehouse at Liverpool before it could be transferred to the ship or to a 'locker' (a secure cage on the wharf), because there was congestion at the wharf on this occasion. BRS had a long-standing arrangement with Arthur V Crutchley & Co Ltd to store goods in their warehouse at Liverpool docks and deliver to a ship or 'locker' in due course. In this case it was to be the next day, 30 July 1963.

The practice between the companies was that the plaintiff's lorry driver would hand over the load to AVC's servant along with a delivery note, which would be returned to the driver stamped 'Received on AVC conditions', which included a limitation of liability to £800 per ton, equal here to £6,135. The whisky was worth £9,126.

When the whisky was delivered, the trailer it was on was left on view outside the warehouse for most of 29 July. At about 4pm, the defendant's driver came, covered the load and secured it, attached the tractor unit (the front part of the lorry that pulls the trailer – described by Lord Pearson as 'mechanical horses') and drove the load into the warehouse, facing out of the doors, so that it would be convenient to drive it out the following morning at 6.30am.

AVC's warehouse was in Cotton Street, a narrow street off the main dock road in Liverpool. The main road was some seven miles long, with side roads full of warehouses extending about 500 yards to the side of it. (AVC still exists, by the way, but is now located in Ellesmere Port.) Security patrols were provided by the Third Party, who had men going out in cars or on motorcycles at various intervals in the night. They claimed that this was better than static security guards, because they could get energetic young men for the mobile patrols but were only able to recruit elderly men for static work, and these tended to fall asleep on the job! On this particular night, one of the visits was missed because the guard's motorcycle broke down. There was no evidence that this contributed to the fact of the loss.

The warehouse had the best type of security doors, which could only be opened from inside. The only way for an intruder to get in was for a 'cat-burglar' to get onto the roof, through a skylight glazed with reinforced glass. This is what happened. The cat-burglar climbed up a neighbouring building, leapt across onto the warehouse, got through the skylight, climbed down two storeys or more in height onto the warehouse floor and opened the doors. The gang then drove the lorry with the whisky off to an empty warehouse, transferred it to another vehicle and made their getaway.

The Court of Appeal (Lord Pearson, Danckwerts and Sachs LJJ) held that AVC had not taken sufficient care of the goods, given that they were particularly vulnerable (that is, valuable and easy for a thief to sell on), and it did not matter whether or not the Third Party's negligence had actually caused

the loss (though it was not proven that it had), because AVC as bailee was responsible not only for its own negligence but for any negligence of an independent contractor.

There are two important things to take away from this decision: (1) a bailee is liable even when the goods are stolen; and (2) a bailee is liable for the actions or negligence of independent contractors. These are both differences from the usual rules on negligence liability.

This case was recently applied by the Court of Appeal in *G Bosman (Transport) Ltd v. LKW Walter International Transportorganization AG* [2002] EWCA Civ 850, where a carrier was held liable for the negligence of a security company leading to the shipper's goods being stolen.

6.2 Standard of Care

The picture is a little complex here, because in the past different types of bailee were held to have different standards of care. A bailee under a mandatum or a depositum could only be found liable if he was grossly negligent, but under a commodatum, for instance, a very much higher standard of care was necessary. Some Commonwealth jurisdictions have retained something of the sort (though the key now is to assess the benefits and burdens as part of a general consideration of what would be reasonable to impose), but in England & Wales there seems now to be a single general standard, that of 'reasonable care', based on the general negligence cases.

6.3 Estoppel

Normally, if you were responsible in negligence for damage to someone else's goods and they sued you for damages, you would be entitled to set up by way of a defence that the goods did not belong to the claimant. Obviously, if the goods are not theirs, they have not lost by your negligence and are not the right party to bring the case. This is known as a plea of *jus tertii*. A bailee, however, is estopped from denying the bailor's title, so this defence is not open to him: *Biddle v. Bond* (1865) 6 B & S 225.

There are good reasons for this; as Martin B said in *Cheesman v. Exall* (1851) 6 Ex 341 at 346:

> There are numerous cases in connexion with wharfs and docks, in which, if the party entrusted with the possession of property were not estopped from denying the title of the person from whom he received it, it would be difficult to transact commercial business.

6.4 Burden of Proof

Normally, if you accuse me of negligently damaging some goods of yours, the burden of proof would be on you to prove not only that I did the damage, but that I was negligent. The poor old bailee has no such luck: once the bailor has established the loss or damage, the bailee bears the burden of proving that he wasn't negligent or else that his negligence did not cause

or contribute to the loss, as the Court of Appeal held in *Joseph Travers & Sons Ltd v. Cooper* [1915] 1 KB 73. (The judgment here was applied by the Mercantile Court of the Queen's Bench Division in a fairly recent example, involving mis-delivery of some mobile telephone adaptors: *Matrix Europe Ltd v. Uniserve Holdings Ltd* [2009] EWHC 919 (Comm).) In the Australian case of *Cowper and Cowper v. J G Goldner Pty Ltd* (1986) 40 SASR 457, Bollen J seems to have thought that this reversal of the burden of proof is an implied term agreed to by the bailee, but in fact it applies to bailees even when the bailment arises otherwise than by agreement, so that cannot be right.

It was not always thus: see, for example, *Finucane v. Small* (1795) 1 Esp 315. The present rule, however, makes good sense. Atkin LJ explained in *The Ruapehu* (1925) 21 Ll L Rep 310 at 315 that because the bailee was in possession of the goods at the time of the mishap, he is in a much better position than the bailor to explain what happened. That view was echoed by Sachs LJ in *BRS Ltd v. Arthur V Crutchley Ltd* [1968] 1 All ER 811 at 822. Sachs LJ added that the bailee is also subject to a number of temptations, especially to cut corners on security in order to save money.

✓ **You should now be able to state the special rules relating to a bailee's liability in negligence, as compared with ordinary negligence liability**

☞ **A bailee sued in negligence has a much wider field of responsibility than any other defendant in a negligence action, and fewer defences.**

9
Bailments II: actions and remedies

LEARNING OUTCOMES

Studying this chapter should help you to:

- ✓ be aware of the range of actions open to bailors, other than negligence
- ✓ state the main rules relating to an action for trover ('conversion at common law')
- ✓ state the main rules relating to an action for conversion under the Torts (Interference with Goods) Act 1977
- ✓ state the main rules relevant to a bailor's action for trespass
- ✓ know the effects of contract on the bailor's rights to recover in torts
- ✓ advise on the remedies available from the court to a bailor
- ✓ understand the liabilities that a bailor may have to a bailee

1. INTRODUCTION

We have seen in Chapter 8 that a bailor will in many circumstances have an action for negligence against a bailee who fails to take sufficient care of the bailor's goods. We also noted that an action can be brought for breach of contract wherever the bailment is a contractual one. In many cases, the bailor will have a choice of action. In this chapter, we will look at other actions a bailor may have in torts apart from negligence. The main actions are the common law action of trover, often called simply 'conversion' (which derives from the idea that a defendant has 'converted' the claimant's goods to his own use, by treating them in a way inconsistent with the claimant's ownership), and the statutory action for conversion under the Torts (Interference with Goods Act) 1977. Because the two actions are quite different things, we prefer in this book to use the term 'trover' for the first one, to avoid confusion as to which action we are talking about; however, it is most commonly referred to nowadays as 'conversion'. An action can also sometimes be brought in trespass. In the case of bailments for reward, an action for breach of contract will generally be available, also. Having said all this, it should be remembered that negligence actions account for most cases concerning bailments.

✓ **You are now aware that there is a range of actions available to the bailor, not just the action for negligence explored in Chapter 8**

2. TROVER

Trover (also called 'conversion') is quite difficult to define. It involves an interference with another person's goods, other than a fleeting or trivial interference (which would be trespass, if anything at all). A number of different types of behaviour may constitute trover. For our purposes, two of Horton Rogers' four categories of conversion at common law[1] (viz. 'abusing possession' and 'demand and refusal') will suffice.

2.1 Abusing Possession

A bailee who disposes of the bailor's goods, by sale, by pawn or in error, is liable in conversion, as is anyone who, without lawful justification, deprives the true owner of his goods by delivering them over to a third person or otherwise disposing of them: *Hollins v. Fowler* (1875) LR 7 HL 757, in which cotton was fraudulently obtained by one person, then sold and delivered to a third, who had no knowledge of the fraud but was nevertheless liable in trover. The case has been applied on numerous occasions since. Use of the goods in such a way as to put the owner's right to possession at risk (for instance using a car or van for smuggling, thus making it liable to forfeiture to HM Revenue & Customs) has also been held to be conversion, as in the use of a car for transporting uncustomed watches in *Moorgate Mercantile Co Ltd v. Finch and Read*.

KEY CASE
***MOORGATE MERCANTILE CO LTD V. FINCH AND READ* [1962] 1 QB 701 (CA)**

On 5 October 1960 the first defendant, George Finch (who was apparently known as Brian Finch), entered into a contract with the plaintiffs, whereby he took a car from them on hire purchase. A hire purchase contract is a form of finance where a finance company buys the goods in question and then lets them on hire to a customer. The goods remain the property of the finance company, but the customer has the option, at the end of the hire period, to make a final payment and become the owner of the goods. This particular contract included a term that if a payment was late, or if the hirer used the car for an illegal purpose or parted with 'actual possession and control' of the car, the finance company was entitled to immediate possession of the car, without being obliged to give notice to the hirer. Brian (being a very naughty boy) missed the very first payment, due on 5 November 1960. On 9 November, Brian put the car into a garage for repairs. On 23 November he went to collect the car but could not afford to pay for the repairs, and agreed with the garage owner, a man called Eyles, that he could lend the car to another person, not known to Brian, for a short time.

This person was one Stanley Read, who was a thoroughly naughty boy. He used the car to try and smuggle in 675 Swiss watches without paying customs duty. This entitled HM Customs & Excise (as they then were), having caught Read in the act, to forfeit not only the watches, but also the car. This they duly did.

[1] WVH Rogers, *Winfield & Jolowicz on Tort* (16th edn, Sweet & Maxwell 2002), paras 17.11 and 17.12. The other two are 'taking possession' and 'residual forms of conversion'.

The finance company, Moorgate Mercantile, sued both Brian Finch and Stanley Read in Westminster County Court. Brian disappeared and took no further part in the proceedings. Read was found liable for conversion of the car, by using it in a way that imperilled the plaintiff's ownership. He was ordered to pay £450 damages (this was a long time ago, remember, and that was a fair amount then). He appealed to the Court of Appeal (Ormerod, Willmer and Danckwerts LJJ), arguing that the plaintiff did not have an immediate right to possession and that he had not converted the car as he did not intend it to be forfeited.

HELD: The plaintiffs did have an immediate right to possession under the terms of the hire purchase contract, which were not 'unconscionable' as Read alleged. The plaintiffs therefore had a right to sue for conversion. And although Read obviously did not intend to get caught and therefore did not intend the forfeiture as such, he must be taken to have intended it as a perfectly possible consequence of his actions, so he was liable in conversion.

It is important to note, though, that a *delivery* is required for a disposal of goods to amount to conversion. If a bailee agrees to sell goods to a third party, but has not actually handed them over, then the transaction is void, and property does not pass, and there has been no conversion: *Lancashire Waggon Co v. Fitzhugh* (1861) 6 H & N 502.

Also note that a buyer who receives goods in good faith from a seller in possession of the goods, and with no notice of the fact that the seller has already sold the goods to someone else, has the same rights as if that delivery to him had been expressly authorized by the original buyer: s.24 Sale of Goods Act 1979.

Destroying or altering goods (without permission, of course) is conversion. As Rogers says: 'If I make an omelette of your eggs or a statue out of your block of marble, that is conversion.'[2] The remedy for a conversion committed in this way depends partly upon the circumstances and partly on the wishes of the owner of the goods (for our purposes, the bailor). If the goods are disposed of and irrecoverable or destroyed or damaged, the bailor has a remedy in damages. If, however, the goods have been turned into something, the bailor may have a proprietary claim. Where the goods comprise all or substantially all of the new product, then the new product will belong to the bailor, as in the case of *Jones v. de Marchant* (1916) 28 DLR 561, a case in the Manitoba Court of Appeal, in which a husband had, over time, given his wife some 18 beaver pelts with a view to them eventually being made into a fur coat. They were kept in cold storage until that time should come. However, at some point, the husband decided instead to have them made into a coat for his mistress. Four extra pelts had to be purchased to complete the coat, but it was mainly made out of the furs that he had given to his wife. When the wife saw the coat on the mistress, she correctly divined what had happened – what else came to pass on that occasion is left to our imaginations! It was held that it was not possible to share the ownership between them, and selling the coat to divide the money did not solve the legal question of ownership, so the wife was the owner. The mistress may have had no knowledge and been entirely innocent, but because she was the recipient of the coat as a gift, she could stand in no better position than the donor.

[2] Ibid para 17.11.

Where goods belonging to two or more different people have been combined in such a way that it is impossible to separate them (for example, mixing oil belonging to different people), the mixture is owned jointly by the different owners in shares depending upon the quantity contributed to the whole: *Indian Oil Corp Ltd v. Greenstone Shipping SA (Panama), 'The Ypatianna'* [1988] QB 345.

The act of a servant of a bailee or sub-bailee is the responsibility of his master, even if it amounts to a criminal act by that servant as in *Morris v. C W Martin & Sons Ltd* [1966] 1 QB 716 (CA), another case concerning furs. In this instance, the plaintiff deposited her fur stole (a sort of short cape) with her furrier for cleaning. The furrier did not carry out cleaning himself but passed it on to the defendants (who became sub-bailees). The stole was stolen by one of the defendants' staff. The defendant was held liable in trover for the act of its servant, even though it was a crime.

2.2 Demand and Refusal

If a bailor demands return of goods and the bailee refuses, that is actionable as a breach of contract, but it may also constitute conversion. It is possible that when you studied equitable remedies in contracts you will have come across the case of *Howard E Perry & Co Ltd v. British Railways Board* [1980] 1 WLR 1375. This was an unusual case, in which the plaintiffs, who were steel stockholders, had purchased some 480 tons of steel, which under a contract with the Defendants had been transported to and was held at the defendants' depots at Wolverhampton (180 tons) and Brierley Hill (300 tons). The steel was of a particular sort that could not just be left indefinitely, because it would lose its malleability and become unworkable. Now, at this time, the steelworkers went out on strike. The National Union of Railwaymen, in 'sympathy' with their brothers the steelworkers, refused to allow any steel to be moved. The plaintiffs accepted that the defendants could not get their staff to move the steel, but requested that they be allowed into the depots with their own lorries and staff to collect their steel. The defendants had declined this request, because they feared 'union trouble' if they let the plaintiffs in. The plaintiffs brought a case in the Chancery Division, claiming delivery up of the steel under s.3(2)(a) of the Torts (Interference with Goods) Act 1977 (TIGA). Because of the urgency of the matter, the plaintiffs applied to the court for an interlocutory order for delivery up under s.4 TIGA. Sir Robert Megarry V-C[3] held that by refusing to allow the plaintiffs access to their property, of which the defendant railway board was bailee, the defendants had committed conversion. Because of the steel strike, the goods were, in a sense, commercially 'unique' goods, so that an award of damages without delivery of the goods (under s.3(2)(b) or s.3(2)(c)) would not be an adequate remedy after a trial, so he ordered delivery under s.4. It was not necessary, he held, that there should be a risk that the goods would be lost or destroyed. Conversion was committed by the refusal by the bailee of the bailor's demand for the goods.

[3] 'Vice-Chancellor', not 'Victoria Cross' – this was the title of the head of the Chancery Division until it was changed to 'Chancellor of the High Court' in October 2005.

KEY STATUTORY PROVISIONS
TORTS (INTERFERENCE WITH GOODS) ACT 1977 SS.3 AND 4

3 FORM OF JUDGMENT WHERE GOODS ARE DETAINED

(1) In proceedings for wrongful interference against a person who is in possession or in control of the goods relief may be given in accordance with this section, so far as appropriate.

(2) The relief is—

(a) an order for delivery of the goods, and for payment of any consequential damages, or

(b) an order for delivery of the goods, but giving the Defendant the alternative of paying damages by reference to the value of the goods, together in either alternative with payment of any consequential damages, or

(c) damages.

(3) Subject to rules of court—

(a) relief shall be given under only one of paragraphs (a), (b) and (c) of subsection (2),

(b) relief under paragraph (a) of subsection (2) is at the discretion of the court, and the Claimant may choose between the others.

(4) If it is shown to the satisfaction of the court that an order under subsection (2)(a) has not been complied with, the court may—

(a) revoke the order, or the relevant part of it, and

(b) make an order for payment of damages by reference to the value of the goods.

(5) Where an order is made under subsection (2)(b) the Defendant may satisfy the order by returning the goods at any time before execution of judgment, but without prejudice to liability to pay any consequential damages.

(6) An order for delivery of the goods under subsection (2)(a) or (b) may impose such conditions as may be determined by the court, or pursuant to rules of court, and in particular, where damages by reference to the value of the goods would not be the whole of the value of the goods, may require an allowance to be made by the Claimant to reflect the difference.

For example, a bailor's action against the bailee may be one in which the measure of damages is not the full value of the goods, and then the court may order delivery of the goods, but require the bailor to pay the bailee a sum reflecting the difference.

(7) Where under subsection (1) or subsection (2) of section 6 an allowance is to be made in respect of an improvement of the goods, and an order is made under subsection (2)(a) or (b), the court may assess the allowance to be made in respect of the improvement, and by the order require, as a condition for delivery of the goods, that allowance to be made by the Claimant.

[...]

4 INTERLOCUTORY RELIEF WHERE GOODS ARE DETAINED

(1) In this section 'proceedings' means proceedings for wrongful interference.

(2) On the application of any person in accordance with rules of court, the High Court shall, in such circumstances as may be specified in the rules, have power to make an order providing for the delivery up of any goods which are or may become the subject matter of subsequent proceedings in the court, or as to which any question may arise in proceedings.

(3) Delivery shall be, as the order may provide, to the Claimant or to a person appointed by the court for the purpose, and shall be on such terms and conditions as may be specified in the order.
[...]

You should now be able to state the main rules relating to an action for trover (aka 'conversion at common law')

3. STATUTORY 'CONVERSION'

We have seen that where a bailee refuses to deliver up the bailor's goods, or has otherwise 'converted' the goods to his own use (such as by incorporating them in other goods, or by selling them or destroying them), by a deliberate act, the bailor has an action against the bailee for trover, often called 'conversion'. Where the goods have been lost or destroyed as the result of negligence rather than a deliberate action, the bailor used to have an action known as 'detinue'. However, the Torts (Interference with Goods) Act 1977 abolished the action of detinue and provided instead (in s.2(2)) a statutory action for 'conversion'. You might think of it as 'Detinue 2.0' (but it's probably not advisable to use that terminology in court or in an exam!).

You should now be able to state the main rules relating to bringing an action for statutory conversion under the Torts (Interference with Goods) Act 1977

4. TRESPASS

Trespass to goods is another possible action against a bailee, but since it is a tort against possession it can only really arise in the case of the 'accidental bailee' (for example, one who picks up a suitcase mistakenly believing it to be his own) and has little or no relevance to us in the business context.

Put shortly, it requires some direct action, such as scratching a car or killing an animal, but may be either causing damage or mere 'asportation' (moving something from A to B). Such acts would not necessarily be a conversion: see *Fouldes v. Willoughby* (1841) 8 M & W 538 per Alderson B at 549 (instancing the scratching of paint of a carriage and saying it would be 'monstrous' to hold that to be trover).

Possession is essential to all trespass, so the claimant would have to be in possession at the time of the action alleged to be trespass, which would make it difficult in the case of a bailment – though, of course, a bailee might sue for trespass against goods bailed to him. Trover, by contrast, is an action based on ownership, in which possession is not required: 'The distinction between the actions of trespass and trover is well settled: the former is

founded on possession the latter on property' (*Ward v. Macauley* (1791) 4 Term Rep 489, per Lord Kenyon CJ at 490). A *right to possession* (but not actual possession) is also required for trover: *Gordon v. Harper* (1796) 7 Term Rep 9; 101 ER 828. (nb: Lexis describes *Ward v. Macauley* as being overruled by *Gordon v. Harper*, but this is not really correct, at least not as to this point.)

✓ **You should now be able to state the main rules relating to an action by a bailor for trespass**

☞ **Trespass is a tort against possession, not ownership. If I own land let out to a tenant, for instance, the tenant can potentially sue me for trespass and any other interloper, too; but I cannot sue anyone for trespass if it is let, since I do not have possession. The same applies with goods.**

5. CONTRACT

As we have already seen, bailments may be gratuitous or for reward, and if for reward are generally created by contract. The usual principles of contract will apply if the bailor sues for breach of contract, with damages measured on the contract basis, whether that is *Hadley v. Baxendale* principles or else liquidated damages. One also needs to consider that any contractual bailment is likely to be under a contract for services, with the implied term (if there is no express term governing the point) inserted by s.13 of the Supply of Goods and Services Act 1982, that the service will be provided with reasonable care and skill. (Where the bailor is a consumer, this right is now derived from s.49 of the Consumer Rights Act 2015.)

Contractual liability may, of course, be concurrent with liability in tort (though the existence of a contract has some effect on the availability and scope of tortious remedies), which will typically be wider in scope and may give better remedies.

Very often, a contract will contain detailed provisions in relation to the bailment and will include a clause stating that the contract contains the entire agreement between the parties. The questions which a contract raises are mainly: (a) At what point does a bailee's breach of the terms of the contract entitle a bailor to immediate possession and thus a right to a wider claim than contract, for example, conversion? (b) Does the contract govern as to remedies (including exclusions and limitations)?

5.1 Right to Immediate Possession

We can look first at a case we have already noted: *Moorgate Mercantile Co. Ltd v. Finch and Read* [1962] 1 Q.B. 701. In this case, it will be remembered that the fact that Finch's November instalment of hire-purchase payments was four days in arrears was held to mean that the plaintiff was entitled to immediate possession and could therefore sue Read in trover for his actions, which had resulted in the car becoming forfeit to HM Customs. This position seems to be supported in the later case of *Union Transport Finance v. British Car Auctions*

[1978] 2 All ER 385 (CA), in which a bailee wrongfully sold a car he had on hire-purchase from the plaintiff. The plaintiff was allowed to sue the defendant auctioneers in conversion. Roskill LJ held (at 390) that 'if the bailee acts in a way which … destroys the basis of the contract of bailment, the bailor becomes entitled at once to bring that contract to an end, and thus at once acquires the right to immediate possession of the article bailed'.

Compare this, however, to the mental gymnastics in the Australian case of *The Anderson Group Pty Ltd v. Tynan Motors Ltd* (2006) 65 NSWLR 400. The facts were set out by Young CJ in Eq, as follows:

> [19] The basic facts in this case are extremely simple and uncontested. The appellant, the Plaintiff below, took a Mercedes car under a hire purchase agreement from Esanda Ltd I will mention some of the terms of the hire purchase agreement in due course, but suffice at this point to say that the hire purchase agreement was governed only by the common law and that it contained a provision that the hirer was not to part with possession without prior written consent.
> [20] The appellant wished to sell the car. Its controller says he telephoned Esanda, obtained a pay-out figure, informed the officer of Esanda that he intended to sell the car and then took it to the respondent's yard at Miranda for sale on consignment. He did not obtain the written consent of Esanda to do this as the hire purchase agreement required. The car had originally been acquired from the respondent.
> [21] The appellant had also committed other breaches of the hire purchase agreement such as a failure to insure the vehicle.
> [22] On 3 March 2000, this Court ordered that the appellant be wound up.
> [23] On 3 May 2000, the car was in the respondent's yard. Thieves broke into the respondent's office where there were displayed on the wall a board on which the keys to the cars in the yard were hung. The thieves took the keys belonging to the appellant's car and also the keys to another Mercedes motor vehicle and cut part of the small perimeter fence. They then drove those two vehicles out of the yard and they have not been seen since.
> [24] The evidence clearly showed that the appellant's Mercedes could only be moved by a person who had the key.

The defendant sought to challenge the plaintiff's *locus standi* (right to sue) on grounds that it did not have possession of the car and did not have an immediate right to possession because it was in breach of its agreement with Esanda Ltd, which therefore had the right to immediate possession. The argument failed, unsurprisingly. The New South Wales Court of Appeal held that while Esanda had the right to terminate the agreement with the plaintiff if it chose, by simply giving notice, it had not exercised that right, so the right of possession had not reverted to it. The right to terminate lay with Esanda and expanded its rights – it did not mean that it was automatically back in possession if it did not want to be. By not exercising it, Esanda waived its right to a reversion of possession, so the bailee still had the immediate right to possession and could sue for conversion.

The terms of the contract need not expressly entitle a bailor to possession in order for the bailor to gain an immediate right to possession, such as to give a cause of action in conversion. This can be seen in *Calor Gas Ltd v. Homebase Ltd* [2007] EWHC 1173 (Ch). In this case Calor sued Homebase, which had formerly been a Calor stockist. Calor was upset, for some reason, by Homebase's practice of allowing Calor customers to return their cylinders to Homebase, which would then return them to Calor. Calor sued for conversion and was held to have a right to immediate possession because its contract with its customers required the customers to return cylinders direct to Calor and also entitled Calor to repossess cylinders immediately for any breach of the agreement. Returning the cylinders to Homebase was such a breach. This, of course, was all in the contract, but Henderson J observed at [38] that:

> [E]ven if condition 5 did not make express provision in these terms, the same result would follow from application of the well-established principle that a breach of the contract of bailment by the bailee terminates the bailment and leads to the revival of the bailor's right to immediate possession, thereby entitling him to maintain an action for conversion…

Presumably this common law right would be equally at the option of the bailor to waive, as was the contractual right in *Anderson Group v. Tynan Motors*, otherwise in that case Anderson would still have lost the right to immediate possession in spite of Esada's waiver of its contractual rights.

Moreover, it has been stated that while a contract might in terms oust the bailor's right to immediate possession in the event of a breach of the bailment, a term that simply gives a right to the bailor to terminate by notice in the event of a breach of the contract of bailment will not be construed as ousting the right to immediate possession in the event of a breach. Only the clearest language to that effect is thought to suffice. Beazley JA in *Hill v. Reglon Pty Ltd* [2007] NSWCA 295 said (at [56]): '… any act which is repugnant to the bailment or inconsistent with the terms of the bailment terminates the bailment, causing the right of possession to revert to the bailor.'

A bailor needs to be able to establish a *right to* immediate possession to bring actions in conversion (whether trover or statutory conversion), but need not have actual possession (unlike for an action for trespass). Breach of a *contractual* bailment gives the bailor an immediate right of possession.

6. ORDERS OF THE COURT IN FAVOUR OF THE BAILOR

Actions for breaches of bailment could, in theory, invoke the bailment as an independent form of obligation, *sui generis* and distinct from contract or tort. In practice, however, bailment actions are almost always framed in contract and/or tort. There are a few cases

where bailment does mean idiosyncratic remedial approaches, such as for 'deviation' (radical departure from the approved/agreed method of performance) or application of specific rules, for example in relation to carriage of goods by land, sea or air, or the rules relating to the liability of an innkeeper or a boarding-house proprietor. It is possible that the courts may go on framing individual approaches to special remedial problems thrown up by the nature of bailments and their breach, where existing principles do not seem to do sufficient justice, but this should be seen in the light of (a) the tendency to assimilate assessment of loss and (b) the assertion of the essentially factual nature of 'damage' or 'loss' in *Ruxley Electronics v. Forsyth* [1986] AC 344.

So, actions lie as follows, in summary:

- In breach of contract, where there is a contract, if the Claimant chooses.
- In conversion (trover) where loss, destruction or damage is the result of a deliberate act.
- In conversion (under TIGA s.2(2) – our 'Detinue 2.0') where the goods are not returned and the loss or destruction is non-deliberate.
- In negligence wherever desired and applicable – particularly where goods are damaged (rather than totally lost or destroyed) by negligence, so that neither trover nor statutory conversion may be brought.

6.1 Does Contract Govern Remedies?

This question has, to a large extent, been answered by what we said above in this chapter and Chapter 8. The contract may have terms requiring notice, but that does not prevent the bailor from becoming entitled to immediate possession. The very fact of a breach of the bailment contract terminates the bailment, from which it would seem to follow that the contract's terms may not necessarily govern. Bailment creates a common law right and the leading text on bailments, *Palmer on Bailments*, takes the view that the common law right survives the contract unless the contract states the contrary in the clearest and most unequivocal terms. *Palmer* cites, among a number of authorities, the Court of Appeal in *Stocznia Gdanska SA v. Latvian Shipping Co (No 3)* [2002] EWCA Civ 889, in which it was held that generally speaking the common law right of termination of bailment would not be ousted by a contractual term without the strongest justification.

However, this rule aside, the contract terms govern a contractual bailment in much the same way as other contracts. We saw a good example of that in *'The Pioneer Container'*, already discussed. Exclusion and limitation clauses apply in the same way as they do in other contracts – and with the same restrictions and difficulties, for example, subject to the reasonableness test in UCTA 1977 and subject to the rules on construction and the special difficulties we see attending the exclusion of negligence liability in, for example, *Canada Steamship Line Ltd v. The King* [1952] AC 192.

The bailor may, of course, choose to sue in tort rather than contract, but a bailee is still entitled to plead a contractual term in exclusion or limitation of his liability, if there is a contract.

The same obviously applies to liquidated damages.

✓ **You should now be able to state the effects of the existence of a contract on the bailor's right to recover in torts (as well as in contract)**

6.2 Trover/Conversion

Damages is, of course, *the* remedy at common law; the only remedy claimable as of right. It is the principal remedy in cases brought against bailees. In some cases, however, a bailor may be able to obtain specific restitution of the chattels involved.

In cases where the goods have been lost, destroyed or disposed of, the measure of damages is the value of the goods *at the time of the conversion*, or at the time of the claimant's discovery of the conversion, if later: *BBMB Finance (Hong Kong) Ltd v. Eda Holdings Ltd* [1990] 2 All ER 129 (PC). The claimant can also recover any consequential losses provided they are not too remote. So, for example, while any predictable loss of profits might be recovered, an exceptional profit that could have been made from a particularly lucrative sale of the goods would not be recoverable unless the bailee was aware of the sale or proposed sale: *The Arpad* [1934] P 189 (CA). This, of course, is an earlier example of the same reasoning adopted in *Victoria Laundry (Windsor) Ltd v. Newman Industries* [1949] 2 KB 528 (CA), with which you will be familiar from studying contract law. Bailors are under the usual duty to mitigate their loss as best they can.

Note that, while causation must of course be proved, there is no simple 'but for' test in conversion cases. The bailor may sue any of successive converters, and it is no defence for any of them to claim that the bailor's loss had already been sustained or was likely to occur anyway: *Kuwait Airways Corp v. Iraq Airways Co (Nos 4 and 5)* [2002] UKHL 19.

In cases where the bailee has not disposed of or destroyed the goods but is refusing to hand them over to the bailor, TIGA 1977 lays down remedies which are based on the old remedies for detinue. As a reminder, s.3 provides as follows:

3. Forms of judgment where goods are detained

(1) In proceedings for wrongful interference against a person who is in possession or control of the goods relief may be given in accordance with this section, so far as appropriate.

(2) The relief is—

  (a) an order for delivery of the goods, and for payment of any consequential damages, or

  (b) an order for delivery of the goods, but giving the Defendant the alternative of paying damages by reference to the value of the goods, together in either alternative with payment of any consequential damage, or

  (c) damages. …

In the case of (b) or (c), the effect of *paying* the damages, where the damages are in respect of the whole of the bailor's interest in the goods (subject in some cases to reduction for contributory negligence – which only applies where the action is in negligence: see s.11(1)

of the Act), is that, under s.5 of the Act, the bailor's title will be extinguished. The same applies where *payment* is made of an agreed settlement of the bailor's action against the bailee.[4]

In some cases, where a converter has retained the goods, he will have made improvements to them. In such cases, when goods are valued post-improvement, an allowance is made for the improvement, provided that the converter acted in the mistaken but honest belief that he had good title to the goods: TIGA 1977, s.6.

Note that it is generally thought that (b) and (c) are the common orders, (a) being made available in cases where damages would inadequately compensate the claimant. This is on the basis that there is a general principle that equitable remedies (such as specific restitution, specific performance and injunctions) are only granted where damages would be an inadequate remedy (for example, in the case of unique goods).[5]

6.3 General Observations on Damages

The general principles relating to damages in contract and tort are applicable here, too; note especially:

- Damages are compensatory in nature.
- Causation must be proved.
- Losses must not be too remote.
- Losses should be mitigated.
- Contributory negligence applies to negligence cases and to contract where liability is the same as in negligence, but not to conversion (s.11 TIGA 1977).

You should now be able to advise on the remedies available to a bailor in the event of a bailee's breach

7. A BAILOR'S DUTY TO A BAILEE

A moment's reflection will tell you that this has to be a very short section. By and large a bailment creates an obligation on the bailee, owed to the bailor. Obviously, if a bailment is for reward, the bailor will be liable to pay the bailee whatever is promised – safe storage fees

[4] We have written throughout of the bailor and the bailee, because we are studying bailments, but the law is the same on these points between parties who are not in this relation to one another: it is not only bailees who can be liable for negligence, trespass or conversion.

[5] Enthusiasts may like to see the following articles: Elizabeth Macdonald, 'The Inadequacy of Adequacy: The Granting of Specific Performance' (1987) 38 NILQ 244; Richard Austen-Baker, 'Difficulties with Damages as a Ground for Specific Performance' (1999) 10 KCLJ 1; and (for the real theory nut) Alan Schwartz, 'The Case for Specific Performance' (1979) 89 Yale LJ 271, all of which consider aspects of the rule that damages must be an inadequate remedy if equitable remedies are to be granted.

to a bank, for instance, or fees to a removals company when we move house. This duty plainly arises primarily in contract, and if not in contract then in quasi-contract, otherwise known as 'restitution' or 'unjust enrichment'. Nonetheless, there are circumstances when a bailor may be fixed with a liability that goes beyond this: when a bailor's negligence harms a bailee. Two cases will be enough to illustrate this. One is your old acquaintance *Chapelton v. Barry UDC* [1940] 1 KB 532 (CA), which you will doubtless have come across in your study of contract law. The other is the case of *Coughlin v. Gillison* [1899] 1 QB 145 (CA).

You will remember *Chapelton v. Barry UDC* as a case about whether a notice on the back of a ticket was sufficient to incorporate an exclusion clause in a notice displayed by the point of collection of deckchairs hired out by the defendant local authority for use on the beach. But this point of incorporation arose out of the circumstance of the plaintiff being bailee of the defendant's deckchair, which collapsed when he sat upon it, injuring himself. (As the bailee had paid the bailor for the use of the chair for his own benefit, this is an example of *locatio et conductio,* as described in Chapter 8.) The council as bailor owed a duty of care to the bailee not to injure him by its negligence. The council argued that it was protected from liability by a contractual exclusion clause (still possible until prohibited by s.2(1) of the Unfair Contract Terms Act 1977). The council failed because the Court of Appeal held that the alleged term was not incorporated in the contract.

The defendant was the owner of a sailing ship lying in dock and contracted with a firm of ballast contractors to ballast the ship. The contractors employed a number of men including the plaintiff to do work and supplied them with hand winches. On the foredeck of the ship there was a 'donkey engine' (a steam-engine fixed in place), which had been used to move the ship in the dock. The men doing the ballasting asked the ship's captain for permission to use it for their work. The captain consented provided they employed and paid a competent operator. The men employed the same man who had worked it the day before for moving the ship. While ballasting was in progress, however, the donkey engine exploded, injuring the plaintiff.

At trial, the judge (Hawkins J) held that the gratuitous lender of a chattel for use of the borrower (this was an instance of *commodatum* – see Chapter 8 above) has a duty to communicate any defects that are relevant to the borrower's use (assuming the lender knows what the use is going to be). He directed the jury that the lender would be liable for injuries caused by such defects if he failed to warn of them either deliberately or owing to gross negligence. The defendants appealed, but the Court of Appeal unanimously upheld the judgment at first instance and dismissed the appeal. The requirement at that time for gross negligence can now be disregarded, since the relationship would now fall within the ordinary principles for duty of care that we now derive from *Donoghue v. Stevenson* [1932] AC 562.

✓ **You should now understand a bailor's possible liabilities to a bailee**